eras in politics, medicine, middleweight boxing and computer technology. In financial affairs, however, new eras are few and far between, because markets are driven by crowds. Have you ever seen just one bold banker? One timid banker? Like the Washington press corps, lenders are suggestible people. They see what others see and do what others do.

A valuable study of the psychology of the credit markets was performed by Ilse Mintz of the National Bureau of Economic Research in 1950. In the 1920s, a favorite investment was the high-yielding debt of South American governments. By 1935, defaults in those bonds were endemic, and the defaults occurred in a logical pattern. Securities issued early in the 1920s did relatively well. Those issued late in the decade—a time of seemingly limitless blue skies—fared badly. For foreign government bonds sold in the 1925–29 period default rates ran as high as 50%. In banking, success begets success, and confidence spawns confidence.

"After years of watching their big-city cousins amass huge equity and mezzanine-debt portfolios in leveraged buyouts and other corporate restructurings, regional banks are chasing the risky but potentially lucrative investments," *American Banker* recently reported. "Regionals Seeking Share of LBO Jackpot," was the suggestive headline. The story reported on the results of a recent poll of corporate-finance officers at 21 regional banks. Seventeen of these worthies expressed a "newfound willingness to buy subordinated debt or equity," *American Banker* said. A year and a half earlier, the story continued, "only two said their banks would dip below the secure senior debt level, despite the low returns."

If men and women were angels, of course, the trend would work in reverse. Lenders would be bold at the bottom and worried at the top. By the same token, investors would buy at the bottom and sell at the top, and it would be, although dull, a more lucrative world.

"The more intense the craze, the higher the type of intellect that succumbs to it," said a banker in the 1930s; and nobody who has lived through the 1980s can doubt the wis-